

strong corporation, amply capable of meeting its interest charges, may qualify for acceptance almost as readily as a bond secured by mortgage. Furthermore the debentures of a strong enterprise are undoubtedly sounder investments than the mortgage issues of a weak company. No first-lien bond, for example, enjoys a better investment rating than Standard Oil of New Jersey Debenture 3s, due 1961. An examination of the bond list will show that the debenture issues of companies having no secured debt ahead of them will rank in investment character at least on a par with the average mortgage bond, because an enterprise must enjoy a high credit rating to obtain funds on its unsecured long-term bond.¹¹

2. *The Theory of Buying the Highest Yielding Obligation of a Sound Company.* It follows also that if any obligation of an enterprise deserves to qualify as a fixed-value investment, then all its obligations must do so. Stated conversely, if a company's junior bonds are not safe, its first-mortgage bonds are not a desirable fixed-value investment. For if the second mortgage is unsafe the company itself is weak, and generally speaking there can be no high-grade obligations of a weak enterprise. The theoretically correct procedure for bond investment, therefore, is first to select a company meeting every test of strength and soundness, and then to purchase its highest yielding obligation, which would usually mean its junior rather than its first-lien bonds. Assuming no error were ever made in our choice of enterprises, this procedure would work out perfectly well in practice. The greater the chance of mistake, however, the more reason to sacrifice yield in order to reduce the potential loss in capital value. But we must recognize that in favoring the lower yielding first-mortgage issue, the bond buyer is in fact expressing a lack of confidence in his own judgment as to the soundness of the business—which, if carried far enough, would call into question the advisability of his making an investment in *any* of the bonds of the particular enterprise.

Example: As an example of this point, let us consider the Cudahy Packing Company First Mortgage 5s, due 1946, and the Debenture 5¹/₂s of the same company, due 1937. In June 1932 the First 5s sold at 95 to yield about 5¹/₂%, whereas the junior 5¹/₂s sold at 59 to yield over 20%

¹¹ This point is strikingly substantiated by the industrial bond financing between 1935 and 1939. During these years, when only high-grade issues could be sold, by far the greater part of the total was represented by *debentures*.